

Alphabet Inc. (GOOGL.US)

Communication Services · Internet Content & Information

Large Cap (>\$200B) · Report Date: July 20, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-07-20

HOLD

Composite · Valuation: UNDERWEIGHT

Target \$334.74 · -6.3% upside

Price \$357.17

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$334.74 (-6.3% vs \$357.17); Comps 85% + Analyst 15% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	UNDERWEIGHT	Blended PT \$334.74	45%
FSA	Strong	Health +0.40 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.50 · 12m +94%	15%
Composite	HOLD	Score +0.11 · 75% confluence	—

Valuation rich but trend improving — wait for confirmation; solid financial statement profile.

INVESTMENT THESIS / EXECUTIVE SUMMARY

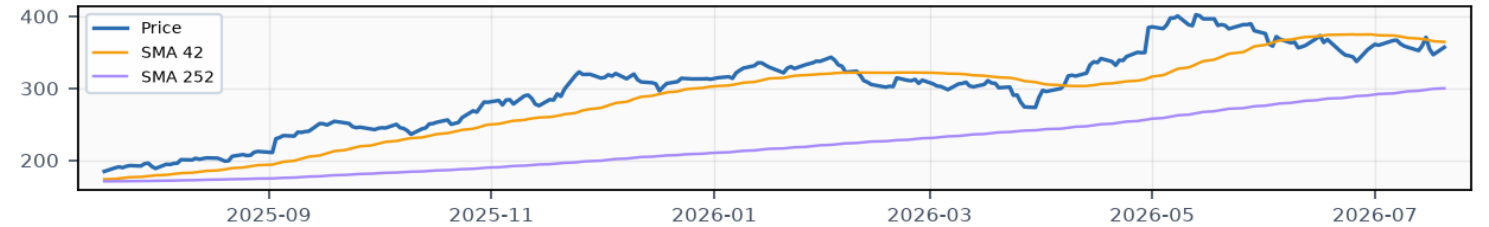
Alphabet Inc. (GOOGL) — Communication Services. Alphabet Inc. offers various products and platforms in the United States, Europe, the Middle East, Africa, the Asia-Pacific, Canada, and Latin America. It... **UNDERWEIGHT** rating; blended target \$334.74. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$4.36T	Shares Out.	5867.2M
52-Week Range	\$186.15 – \$408.61	P/E (TTM)	27.2x
P/B	9.0x	Beta	1.25
Avg Volume	31.96M	Analyst Rec.	Strong Buy
Revenue (TTM)	\$422.50B	Rev Growth	+21.8%
Op. Margin	36.1%	FCF (TTM)	\$73.27B
Gross Margin	60.4%	ROE	38.9%
EV/EBITDA	25.9x	Debt/Equity	20.0%
EPS (TTM)	\$13.11	Div Yield	25.0%

PRICE TREND · SMA 42 / 252

GOOGL · Price & SMA



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	350,018	402,836	490,654	569,208	637,268
Revenue Growth (%)	N/A	15.1%	21.8%	16.0%	12.0%
Net Income (\$M)	100,118	132,170	160,983	186,756	209,087
Gross Margin (%)	58.2%	59.7%	60.4%	60.4%	60.4%
Net Margin (%)	28.6%	32.8%	32.8%	32.8%	32.8%
EPS (\$)	17.06	22.53	27.44	31.83	35.64
P/E (x)	20.93	15.86	13.02	11.22	10.02

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$364.60	Short-term trend	12m Momentum	+93.5%	
SMA (252d)	\$300.04	Long-term trend	3m Momentum	+5.9%	
RSI (14d)	52.1	Momentum oscillator	Ann. Volatility	31.7%	
Trend	Bullish		Sharpe Ratio	0.61	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-44.3%	
Death Cross (20d)	No		Rel. Strength vs SPY	+100.3%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$364.60, SMA252=\$300.04	Quant Score	+0.50	POSITIVE
			SMA Backtest (ann.)	30.1%	B&H; 33.6%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$256.00	-28.3%	—	Not in blend
Comps — Blended	\$317.31	-11.2%	85%	Included in blend
Analyst consensus	\$433.51	+21.4%	15%	Included in blend
Blended target	\$334.74	-6.3%	100%	Comps 85% + Analyst 15%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
10.86%	4.00%	10.00%	\$1.50T	\$256.00	-28.3%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
META	Meta Platforms, Inc.	\$1.65T	23.5x	15.1x	32.8%	+33.1%
NFLX	Netflix, Inc.	\$285.77B	21.3x	20.0x	28.2%	+13.4%
DIS	Walt Disney Company (T	\$168.08B	15.5x	11.0x	11.5%	+6.5%
SNAP	Snap Inc.	\$7.61B	N/A	-36.7x	-6.7%	+12.1%
GOOGL*	Alphabet Inc.	\$4.36T	27.2x	25.9x	37.9%	+21.8%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (21.8% YoY); High operating leverage (36.1% margin); Above-market volatility (β=1.25) · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.